FINANCIAL MANAGEMENT

Suggested Answers
July-August 2025

Answer to the Question# 1(a):

Calculation of weighted average cost of capital
Definition
k = Weighted average cost of capital
ke = Cost of equity capital
kd = Cost of debenture capital
kL = Cost of bank loan
E = Total ex-dividend market value of debt
D = Total ex-interest market value of loan
L = Total value of outstanding bank loan

(i) Calculation of ke
Assuming an underlying dividend growth 'g' per anumn, the average growth rate between 2020 and 2024 is given by

$(1+g)^4 = 13.6 \div 10$
$= 1.36$
$(1+g) = \sqrt[4]{1.36}$
$= 1.0799$
$g = 8\%$

Assuming that shareholders take past dividend growth as a reasonable approximation to future growth, then using the dividend growth model,

$ke = (Do (1 + g)) \div Po + 0.08$
$= (13.6 \times 1.08) \div 135 + 0.08$
$= 18.88\%$

(ii) Calculation of kd
kd is the discount rate which equates the present value of future income (Tk. 8 per anumn) and redemption (Tk. 100) to the current market price (Tk. 82.50)

Time	Flow	DF @ 10%	PV	DF @ 15%	PV
1-4	8.00	3.170	25.36	2.855	22.84
4	100.00	0.683	68.30	0.572	57.20
0	(82.50)	1.000	(82.50)	1.000	(82.50)
			11		(2)

By linear interpolation

$kd = 10 + (11.16 \div (11.16+2.46)) \times (15-10)$
$= 14\%$

(iii) Calculation of cost of bank loan
The current cost of debt is taken as the best estimate of the future cost of debt i.e., 16.5%

(iv) Calculation of weighted average cost of capital

$k = (ke\ E + kd + kL\ L) \div (E + D + L)$
$= (4.05 \times 18.88\% + (0.66 \times 14\%) + (0.9 \times 16.5\%)) \div (4.05+0.66+0.9)$
$= 18\%$

Answer to the Question# 1(b):

If the directors use this WACC (**19.03%**) to discount the cash flows of the new project, they are making the following critical assumptions:

1. **Constant Business Risk:** The new project carries a level of systematic risk identical to the company's existing portfolio of assets.
2. **Constant Financial Risk:** The project will be financed in a way that maintains the company's current debt-to-equity ratio (i.e., its current capital structure).
3. **Perpetual Growth:** The historical dividend growth rate of 10.8% is a reliable indicator of the company's perpetual future growth, which is used in the cost of equity calculation.

4. **Project Scale:** The project is of a scale that does not significantly alter the company's overall risk profile or capacity to raise debt.

Answer to the Question# 1(c):

Practical problems in estimating k for a large Bangladeshi listed company

1. **Estimating the Cost of Equity (K_e):**
    - **Dividend Growth Model (DGM):** Unstable dividend histories make estimating a sustainable growth rate (g) difficult.
    - **Capital Asset Pricing Model (CAPM):** Scarcity of reliable data for calculating a robust Equity Risk Premium (ERP) and Beta (β) for the Bangladeshi market.
2. **Estimating the Cost of Debt (K_d):**
    - **Complex Debt Structure:** Multiple debt instruments with different terms make aggregation complex.
    - **Non-Traded Debt:** Lack of a active secondary market for corporate debt means book values must often be used instead of market values.
3. **Determining the Capital Structure Weights (E/V and D/V):**
    - **Target vs. Actual:** Identifying the company's target capital structure is challenging.
    - **Market Value Fluctuations:** High volatility in the Dhaka Stock Exchange can make the market value of equity a moving target.
4. **Corporate Tax Rate (T):**
    - Varying tax rates and complex incentive structures make pinpointing the correct marginal tax rate difficult.
5. **Country-Specific Risks:**
    - Standard models may not fully capture Bangladesh's unique political and economic risks, and adjusting the WACC for this is subjective.

Answer to the Question# 2(a) (i):

Identifying the Form of Market Efficiency

The EMH exists in three forms:

- **Weak Form:** Prices reflect all historical information. Technical analysis cannot generate excess returns.
- **Semi-Strong Form:** Prices reflect all publicly available information. Neither technical nor fundamental analysis can generate excess returns.
- **Strong Form:** Prices reflect all information, public and private (insider information). No one can consistently earn excess returns.

Based on the timeline of STL's price reaction following the merger announcement, the most appropriate form of market efficiency demonstrated is semi-strong form efficiency.

Justification:

- The price reacted within one minute of the public announcement (surging 6%), indicating rapid incorporation of publicly available information.
- However, institutional investors began trading later that same afternoon (3:00 PM), and retail activity intensified in the days following, suggesting a short lag in response among some market participants.
- This behavior aligns with semi-strong efficiency, which asserts that all publicly available information is quickly reflected in share prices, though not necessarily instantaneously by every investor.

The quick initial reaction supports the theory, while staggered institutional and retail trades reflect real-world frictions in how efficiently information is processed.

Answer to the Question# 2(a) (ii):

Calculating STL's Average Monthly Return

Month-to-Month	Calculation	Return (%)
July to August	(121.50 - 120.00) / 120.00 × 100	1.25%
August to September	(122.00 - 121.50) / 121.50 × 100	0.41%
September to October	(124.00 - 122.00) / 122.00 × 100	1.64%
October to November	(123.50 - 124.00) / 124.00 × 100	-0.40%
November to December	(124.50 - 123.50) / 123.50 × 100	0.81%

Average Monthly Return =1.25+0.41+1.64−0.40+0.815=3.715=0.742%

Interpretation:

- In the six months leading up the merger, STL underperformed the broader market (0.74% vs. 1.20% per month). Under the Semi-Strong Form EMH, stock prices should only react to new, unexpected information. The fact that STL was not an outlier and was, in fact, a mild underperformer suggests there was **no significant information leakage** about the impending merger into the public domain during this period.

- If insider trading based on the merger had been occurring (a violation of strong-form efficiency), we would likely have observed abnormal positive returns and rising volume in the pre-announcement period. The absence of such a pattern supports the view that the news was largely contained until the formal announcement on January 15, aligning with the semi-strong form's assumptions about the availability of public information.

Answer to the Question# 2(a) (iii):

Implications for Investors

For Institutional Investors:

- **Implication: The Primacy of Speed and Information Processing.**
  The initial 6% price jump within a minute demonstrates that the value of a standard fundamental analysis report, which might take hours or days to produce, is often in confirming a trade rather than initiating it. To capture alpha around market-moving events, institutions must invest in superior **information technology infrastructure**, including direct news feeds and algorithmic trading capabilities, to execute trades in the first seconds after a disclosure. Relying on traditional methods will often mean buying at a price that already reflects the news.

For Retail Investors:

- **Implication: The High Risk of "Chasing the News."**
  Retail investors, who primarily reacted to social media and digital news *days after* the announcement, bought into a rally that was already well underway. By January 22, they were purchasing at a 22% premium to the pre-news price. This behavior often leads to buying at the peak and suffering losses when the price eventually corrects or consolidates. The key lesson is that by the time a major news event reaches the general retail audience through popular channels, the most significant profit opportunity has usually passed. A more prudent strategy is to focus on long-term value investing rather than short-term momentum chasing.

Answer to the Question# 2(b) (i):

Buying Option				
Year		**Net Cash Flows**	**DF**	**PV**
Year 0	Machine purchase	(15,000,000)	1.00	(15,000,000.0)
Year 1-5	Tax savings	750,000	3.967	2,975,250.0
Net expenses				**(12,024,750.0)**
Leasing Options				
Year 1-5	Lease payment	(4,500,000)	3.967	(17,851,500)
Year 1-5	Tax savings	1,125,000	3.967	4,462,875
				(13,388,625)

Net Annual Savings	**(1,363,875)**

Decision: The NAL is negative, so the company should not lease.

Answer to the Question# 2(b) (ii):

A **Sale and Leaseback** is a two-party transaction where a company sells an asset it already owns to a lessor and simultaneously leases it back for a long period. This allows the company to unlock the capital tied up in the asset, improving liquidity, while retaining the use of it.

In contrast, a **Leveraged Lease** is a three-party arrangement involving a lessee, a lessor (equity participant), and a long-term lender. The lessor borrows a large portion of the funds needed to purchase the asset from the lender. This structure is typically used for financing very expensive assets, as it allows the lessor to act as an equity investor while using significant financial leverage.

Answer to the Question# 3(a):

(i) By selling the receipts forward, the company can lock in a taka value of 60,000,000/1.5830 = Tk. 37,902,716.

(ii) The company can also hedge its rupees receivables by borrowing Rs.58,536,585 (the present value of Rs 60,000,000 at a 180-day interest rate of 2.5% (5.0% × 180/360)); sell the proceeds in the spot market at a rate of 1.5669 Rs./Tk. (giving Tk. 37,358,213); and invest the taka proceeds at a 180-day interest rate of 2.0% (4.0% × 180/360) to produce Tk. 38,105,377. Using a money market hedge, therefore, the company can lock in a taka value of [60,000,000/(1 + 0.025)]/1.5669 × (1 + 0.02) = Tk. 38,105,377.

The money market hedge yields a higher taka value for the rupees receipts and so is preferable.

Answer to the Question# 3(b):

A currency option provides you with the **right, but not the obligation**, to exchange currency at a pre-agreed rate (the strike price). This is different from a forward contract, which is an obligation.
In your situation, where you are expecting to *receive* rupees (you are long rupees), the appropriate hedge is to purchase a **Put Option on Rupees**. This gives you the right to *sell* your rupees at the strike price.
If the rupee weakens against the taka (a worse rate than the strike), you exercise your right and sell at the favorable strike price, thus setting a **floor** for your income.

If the rupee strengthens (a better rate than the strike), you can let the option expire worthless and sell your rupees at the more favorable spot market rate. This allows you to **participate in favorable exchange rate movements** while being protected from unfavorable ones. The cost for this flexibility is the upfront **premium** (Tk. 20,000).

Since the company is receiving foreign currency, it will be a put option with an exercise price (Rs./Tk.) of 1.5700

At Spot Date:	Foreign dealer estimate 1.5649.	Forward Rate 1.5830
Exercise price	1.5700	1.5700
Exercise	No	Yes
Amount	38,341,108	38,216,561
Premium	20,000	20,000
Net Receipt	38,311,108	38,196,561

Answer to the Question# 4(a) (i):

i) Calculation of Net Swap Payment

Given:

- Loan: BDT 360 million, Floating Rate = DIBOR + 2.75%
- Swap Terms: Liberty Pays Fixed 8.00%, Receives Floating (DIBOR + 2.75%)
- Settlement: Semi-annual

The net payment under the swap is the difference between what Liberty pays and what it receives, applied to the principal amount.

Net Swap Payment = [Fixed Rate Paid - Floating Rate Received] × Principal

Period 1: DIBOR = 6.5%

- Floating Rate Received = 6.5% + 2.75% = 9.25%
- Net Payment = (8.00% - 9.25%) × BDT 360 million
- Net Payment = (-1.25%) × BDT 360 million = -BDT 4.5 million

Interpretation: The net payment is *negative*, meaning Liberty is a net receiver in the first period. It receives BDT 4.5 million from the swap counterparty. This inflow offsets the high interest it has to pay on its loan.

Total Effective Loan Cost for Period 1:

1. Pays high loan interest: (9.25% / 2) on BDT 360m = ~BDT 16.65m (semi-annually)
2. Receives from swap: (1.25% / 2) on BDT 360m = BDT 2.25m (semi-annually)
3. Net Interest Cost = BDT 16.65m - BDT 2.25m = BDT 14.4m (Equivalent to a fixed 8% annual rate)

Period 2: DIBOR = 4.5%

- Floating Rate Received = 4.5% + 2.75% = 7.25%
- Net Payment = (8.00% - 7.25%) × BDT 360 million
- Net Payment = (0.75%) × BDT 360 million = BDT 2.7 million

Interpretation: The net payment is *positive*, meaning Liberty is a net payer in the second period. It pays BDT 2.7 million to the swap counterparty.

Total Effective Loan Cost for Period 2:

1. Pays lower loan interest: (7.25% / 2) on BDT 360m = ~BDT 13.05m
2. Pays on swap: (0.75% / 2) on BDT 360m = BDT 1.35m
3. Net Interest Cost = BDT 13.05m + BDT 1.35m = BDT 14.4m (Again, equivalent to a fixed 8% annual rate)

Conclusion: Regardless of whether DIBOR rises or falls, the net effect of the swap, combined with the loan payments, locks Liberty's cost of debt at the fixed rate of 8.00% per annum.

Answer to the Question# 4(a) (ii):

Risk Management Strategy

An interest rate swap effectively mitigates Liberty's exposure to interest rate volatility by converting a floating-rate loan obligation into a fixed-rate liability. This provides payment predictability and protects the firm's operating margins, especially during periods of monetary tightening.

Comparison with Alternative Hedging Strategies:

Strategy	Cost Certainty	Flexibility	Upfront Cost	Risk Profile
Interest Rate Swap	High	Low	None	Opportunity cost if rates fall
Interest Rate Cap	Moderate	High	Yes (premium)	Protection up to a ceiling; retains upside
Interest Rate Collar	Moderate	Moderate	Lower than cap	Limits both upside and downside

Swaps are ideal for firms prioritizing certainty over flexibility. Caps are suited for firms expecting short-term volatility, willing to pay for optionality. Collars offer balanced protection but constrain strategic upside.

Answer to the Question# 4(a) (iii):

Scenario Analysis and Governance
If DIBOR unexpectedly falls to 3.5% for the remainder of the swap period, Liberty's received floating-rate payments would decrease significantly. The firm would consistently pay more under the fixed leg (8.00%) than it receives (3.5% + 2.75% = 6.25%), resulting in negative cash flows from the swap. This represents the opportunity cost of hedging against a risk that did not materialize.

Despite the financial downside, the strategic implications affirm prudent governance:

- Transparency: The board made decisions based on forecasted risks and disclosed the rationale publicly.
- Risk Oversight: Proactive use of derivatives shows robust internal control over financial exposures.
- Shareholder Confidence: Demonstrating disciplined financial risk management enhances trust, even if short-term market conditions shift unfavorably.

Liberty's derivative use aligns with governance principles by prioritizing stability and foresight, balancing financial results with fiduciary duty.

Answer to the Question# 4(b) (i, ii & iii):

Profit at current exchange rate	
Sales	4,620,000,000
Cost of purchase	3,902,500,000
Other costs	165,000,000
	552,500,000
Profit after change in exchange rate	
Sales	4,840,000,000
Cost of purchase	4,130,000,000
Other costs	165,000,000
	545,000,000
Loss due to transaction exposure	**7,500,000**
Profit based on new proposal	
Sales	4,615,000,000
Cost of purchase	3,902,500,000
Other costs	165,000,000
	547,500,000

New proposal should be accepted as profit is higher here and transaction exposure loss is also low here 5 mn vs 7.5 mn.

Answer to the Question# 5(a):

Calculation of Net Present Value (NPV) of the proposed project from the perspective of Alpha Inc. (US parent company).

To calculate the NPV, we need to determine the incremental cash flows in USD from the parent company's perspective, considering the initial investment, operating cash flows, depreciation tax shield, opportunity cost (lost export profits), and terminal cash flows, all adjusted for exchange rates and withholding taxes.

Working 1: Calculate the Initial Investment (Year 0 Cash Outflow)

- Initial Project Cost (Plant & Machinery) = US$ 900 million
- Net Working Capital Requirements = US$ 90 million
- **Total Initial Investment = US$ 900 million + US$ 90 million = US$ 990 million**

Working 2: Calculate Annual Incremental Operating Cash Flows in Bangladesh (BDT)

This requires calculating the cash flows from the new project and the opportunity cost of lost export sales.

- **Production and Sales Volume:** 9 million units p.a. (Assumed full capacity utilization for simplicity, as no other sales figures are given for the subsidiary).
- **Sales Price:** BDT 10,000 per unit
- **Variable Cost:** BDT 4,500 per unit
- **Fixed Cash Cost:** BDT 600 million p.a.
- **Depreciation:**
  - Depreciable Amount = US$ 900 million
  - Useful Life = 5 years
  - Annual Depreciation = US$ 900 million / 5 years = US$ 180 million
- **Corporate Tax Rate (Bangladesh):** 25%

Let's construct the Annual Incremental Operating Cash Flow Statement (in BDT) before considering USD denominated costs and repatriation.

Particulars	**Annual (BDT '000,000)**
Sales (9m units * BDT 10,000/unit)	90,000
Less: Variable Costs (9m units * BDT 4,500/unit)	-40,500
Contribution Margin	49,500
Less: Fixed Cash Costs	-600
Earnings Before Depreciation, Interest, and Tax (EBDIT)	48,900
Less: Depreciation (US$ 180M * Current Exchange Rate)	-19,800
(Note: For Bangladeshi tax calculation, depreciation needs to be in BDT. We'll use the initial exchange rate for simplicity, assuming the BDT value of the asset for depreciation purposes is fixed at inception. 180M×110BDT/USD=19,800MBDT.)	
Earnings Before Tax (EBT)	29,100
Less: Corporate Income Tax (25% of BDT 29,100M)	-7,275
Profit After Tax (PAT)	21,825
Add back: Depreciation (Non-cash expense)	19,800
Cash Flow from Operations (before allocated fixed costs)	41,625

Step 3: Calculate Opportunity Cost (Lost Export Contribution Margin)

If the subsidiary is established, the export sales of 4 million units will cease. If it is *not* established, export sales would decline to 2.5 million units. The incremental benefit of setting up the subsidiary, in terms of export sales, is avoiding the decline from 4 million to 2.5 million units.

- Current Export Sales Volume = 4 million units
- Export Sales Volume if NO subsidiary = 2.5 million units
- **Units Retained/Gained by Subsidiary = 4 million - 2.5 million = 1.5 million units** (This is the volume that would have been lost if no subsidiary was set up, and is now preserved/captured by the subsidiary)
- Unit Export Price = US$ 150
- Unit Export Variable Cost = US$ 70
- Contribution Margin per Export Unit = US$ 150 - US$ 70 = US$ 80
- **Lost Export Contribution (Opportunity Cost Avoided):**
  - = 1.5 million units × US$ 80/unit = **US$ 120 million per year**
  - This US$ 120 million represents the *additional* cash flow generated (or decline avoided) due to the project compared to the no-project scenario. This is a positive cash flow for the project.

Step 4: Calculate Annual Repatriable Cash Flows in USD (Years 1-5)
Now, we combine the BDT cash flows from the subsidiary, convert them to USD, deduct USD-denominated allocated fixed costs, and apply withholding tax.

Particulars	**Year 1**	**Year 2**	**Year 3**	**Year 4**	**Year 5**
Cash Flow from Operations (BDT '000,000)	41,625	41,625	41,625	41,625	41,625
Exchange Rate (BDT/US$)	115	120	125	130	135
Cash Flow from Operations (USD '000,000) (A)	362	346.88	333	320.19	308.33
(BDT / Exchange Rate)	(41,625/115)	(41,625/120)	(41,625/125)	(41,625/130)	(41,625/135)
Less: Allocated Fixed Costs (USD '000,000) (B)	-6	-6	-6	-6	-6
Net Cash Flow before Withholding Tax (USD)	356	340.88	327	314.19	302.33
Less: Withholding Tax (10%) (C)	-35.6	-34.09	-32.7	-31.42	-30.23
Net Repatriated Cash Flow (USD) (D) = (A-B-C)	320.4	306.79	294.3	282.77	272.1
Add: Opportunity Cost Avoided (USD '000,000) (E)	120	120	120	120	120
Total Annual Cash Flow (USD '000,000) (D+E)	**440.4**	**426.79**	**414.3**	**402.77**	**392.1**

Step 5: Calculate Terminal Cash Flow (End of Year 5)

- **Salvage Value of Plant & Machinery:** US$ 50 million (received directly in USD, no exchange rate conversion needed).
- **Recovery of Net Working Capital:** The initial US$ 90 million invested in working capital is recovered at the end of the project life.
- **Total Terminal Cash Flow (Year 5) = Salvage Value + Recovery of Net Working Capital**
    - = US$ 50 million + US$ 90 million = **US$ 140 million**

Year	Initial Investment	Annual Cash Flow	Terminal Cash Flow	Net Cash Flow	PVIF @ 15%	Present Value
0	-990	-	-	-990	1	-990
1	-	440.4	-	440.4	0.8696	383.08
2	-	426.79	-	426.79	0.7561	322.75
3	-	414.3	-	414.3	0.6575	272.48
4	-	402.77	-	402.77	0.5718	230.34
5	-	392.1	140	532.1	0.4972	264.5
NPV						483.15

Net Present Value (NPV) = US$ 483.15 million

Answer to the Question# 5(b):

Discuss two key non-financial strategic considerations that Alpha Inc. should take into account before making the final investment decision regarding the Bangladesh subsidiary.

Beyond the financial viability, several non-financial strategic factors are crucial for Alpha Inc.'s decision:

1. **Geopolitical and Regulatory Environment:**
   - **Political Stability:** Bangladesh's political landscape, including election cycles, potential for social unrest, or policy shifts, can significantly impact business operations, supply chains, and asset security. Alpha Inc. needs to assess the stability of the government and the predictability of its policies.

   - **Regulatory Framework:** Understanding and navigating local laws, regulations, and bureaucratic processes (e.g., labor laws, environmental regulations, foreign investment policies, customs procedures) is critical. Changes in these regulations can create unexpected costs or operational hurdles. Ease of doing business, legal recourse for disputes, and intellectual property protection are also vital considerations.

2. **Market Dynamics and Competitive Landscape:**

   - **Consumer Preferences and Cultural Nuances:** While the financial analysis accounts for sales volume and price, understanding the specific preferences, purchasing power, and cultural nuances of Bangladeshi consumers is paramount for product design, marketing, and distribution strategies. A mismatch here could severely limit market penetration despite a competitive price.

   - **Local Competition and Market Saturation:** Beyond the existing MNCs, a detailed analysis of local competitors, their market share, cost structures, distribution networks, and innovation capabilities is essential. The market might become saturated quickly, impacting Alpha Inc.'s projected sales volumes and pricing power. The ability to differentiate products or services will be key.

Answer to the Question# 6(a):

a. Net Asset-Based Valuation

Adjusted Assets:

- Receivables: 8,000 – 2,000 (impairment) = 6,000
- Inventory: Adjusted down from 5,000 to 3,500
- Property, Plant & Equipment: Deduct accumulated depreciation: 60,000 – 600 = 59,400
- Cash & Equivalents: 7,000 (unchanged)
- Total Adjusted Assets = 7,000 + 6,000 + 59,400 + 3,500 = 75,900

Adjusted Liabilities:

- Current Liabilities = 5,000
- Long-Term Debt = 35,000
- Legal Provision = 500
- Total Adjusted Liabilities = 40,500

Adjusted Net Assets (Equity) = 75,900 – 40,500 = 35,400
Shares Outstanding = 1.5 million
Value per Share (Net Asset Method) = 35,400 / 1.5 = BDT 23.60

b. Price/Earnings (P/E) Valuation

- **Adjusted Profit before tax = 6,000 – 150 = BDT 5,850**
- **Adjusted Profit after tax = BDT 5,850 x 0.75 = BDT 4,387.50**
- Industry P/E Ratio = 7 (industry average is taken to adjust the changes in market condition)
- Estimated Market Value = 4,387.50 × 7 = 30,712.50
- Value per Share (P/E Method) = 30,712.50/ 1.5 = BDT 20.48

c. Dividend Yield Valuation

- Annual Dividend per Share = 20% of face value (BDT 10) = BDT 2
- Industry Dividend Yield = 15%
- Value per Share (Dividend Yield) = 2 / 0.15 = BDT 13.33

d. Valuation Range for Negotiation

- Net Asset-Based: 23.60
- P/E Ratio: 20.48
- Dividend Yield: 13.33

A reasonable negotiation range would be BDT 20 to BDT 24 per share, depending on weighting and assumptions. The Chairman may lean closer to asset-based pricing, while the buying team may argue for P/E-based valuation. The dividend yield result (BDT 13.33) was excluded from the negotiation range due to its substantially lower valuation, which could distort the negotiation benchmark. While dividend consistency adds credibility, this method reflects income-based investor returns rather than control value or strategic potential, making it less suitable in a management buyout context.

Answer to the Question# 6(b):

A Management Buyout (MBO) occurs when the company's existing executives purchase ownership stakes to gain control. In Apex's case, the CEO and CXOs aim to acquire shares from the Chairman following his exit, ensuring continuity and leveraging internal leadership knowledge.

Ethical Concerns:

- Conflict of Interest: Executives have access to insider information and may influence valuation or negotiation to serve their interests.
- Transparency Risks: Notably, the CEO initially advocated for an internal valuation led by the CFO, while cost-effective, this raised concerns over impartiality, especially as the CFO is part of the acquiring team. This illustrates the inherent ethical dilemma of internal parties assessing the value of a business they plan to acquire.
- Fiduciary Duty: Executives must avoid prioritizing personal gain over shareholder fairness and uphold trust in the process.

Apex addressed these concerns by engaging an external valuer and formalizing the transaction process, enhancing transparency and governance integrity.

Answer to the Question# 6(c):

As an external valuer, I would:

- Maintain independence from management and disclose any potential bias.
- Use relevant accounting standards (IAS 16 for depreciation, IFRS 9 for impairment) and IVSC valuation principles.
- Clearly justify asset impairments, depreciation corrections, and contingent liabilities.
- Use multiple valuation approaches to support a balanced, defendable estimate.

This ensures the valuation is professionally governed and supports ethical decision-making in the transaction.

---The End---